

1. Registration of Business

Choose a business structure sole proprietorship, partnership, or company.

Select a business name and make sure it is available.

Register with the relevant authority according to the type of business.

Obtain necessary licenses and permits for the nature of the business.

Register for tax purposes and obtain the required tax identification number.

Open a business bank account in the name of the business.

Maintain proper records of sales, purchases, expenses, and taxes.

Registration gives the business legal recognition and helps in carrying out business activities lawfully.

2. Formation of Partnership Firm

A partnership is formed when two or more persons agree to carry on a business together and share its profits.

- Partners enter into a partnership agreement/deed.

- The deed generally contains:
- Name and address of the firm
- Names and addresses of partners
- Nature of business
- Capital contributed by each partner
- Profit and loss sharing ratio
- Rights and duties of partners
- Rules for admission or retirement of partners
- Method of settlement of disputes
- The partnership firm is registered with the relevant authority, where registration is required or desired under applicable law.
- The firm obtains the necessary tax registration and business licenses.
- A **bank account** is opened in the firm's name.
- Proper books of accounts and business records should be maintained.
- Partners generally have mutual agency, meaning the acts of one partner in the ordinary course of business can bind the firm.

3. Formation of a Company

- Decide the type of company, such as a private or public company.
- Choose and reserve the company name.
- Prepare the company's constitutional documents, such as:
 - ✓ Memorandum of Association
 - ✓ Articles of Association
- Decide the company's:
 - ✓ Registered office
 - ✓ Share capital
 - ✓ Shareholders/members
 - ✓ Directors
- Submit incorporation documents to the relevant corporate regulatory authority.
- Pay the required registration/incorporation fees.
- After approval, the authority issues a Certificate of Incorporation.
- Obtain **tax registration** and any required business licenses.
- Open a **corporate bank account**.
- Maintain statutory records, accounts, and required filings.
- A company has a separate legal personality from its members/shareholders.
- Shareholders' liability is generally limited to the amount they have agreed to contribute, subject to applicable law.